Module 9
Principles of Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS **(Total: 80 marks)**

Answer 1(a)

SBD Company
Depreciation allowance
Year of assessment 2020/21

	20% pool	30% pool	Allowance/ (Charge)
	HK$	HK$	HK$
WDV b/f	38,000	4,000	
Less: Disposal		(6,000)	
Balancing charge		(2,000)	(2,000)
Less: Annual allowance	(7,600)		7,600
WDV c/f	30,400		5,600

Answer 1(b)

Environment-friendly vehicle	500,000	635,600
Assessable profit		1,238,400

Profit and loss allocation

Partners' emoluments:
- Bob: HK$(600,000 + 240,000 + 18,000 + 32,000) = HK$890,000
- David: HK$(480,000 + 28,000) = HK$508,000

	Square Limited	Bob	David	Total
	HK$	HK$	HK$	HK$
Partner's emoluments	0	890,000	508,000	1,398,000
Residue (2:1:1)	(79,800)	(39,900)	(39,900)	(159,600)
	(79,800)	850,100	468,100	1,238,400
Reallocation (850,100:468,100)	79,800	(51,463)	(28,337)	0
	0	798,637	439,763	1,238,400
Loss b/f & set-off	0	(13,000)	(10,000)	(23,000)
Net assessable profit	0	785,637	429,763	1,215,400

Profits tax: HK$1,215,400 x 7.5%	91,155
Less: Tax reduction	(10,000)
Profits tax payable	81,155

Answer 1(c)(i)

Interest paid to Gold Limited

The loan from Gold Limited is used for the partnership's daily operation, and the interest paid satisfied s.16(1)(a). As Gold Limited is a company carrying on business in Hong Kong, the interest income received by it is chargeable to Hong Kong profits tax under s.15(1)(f); therefore the interest paid also satisfied the condition under s.16(2)(c). As the borrowing is not secured by any deposit or loan, s.16(2A) restriction does not apply. Additionally, there is no indication that there is interest flow-back (s.16(2B)). As such, the interest paid to Gold Limited is deductible.

Answer 1(c)(ii)

Loan to ex-employee written off

To qualify for the deduction of bad debt, it must be proven to the satisfaction of the assessor that the debt is irrecoverable and the loan was included previously as trading receipt unless the person has been carrying on a money lending business (s.16(1)(d)). As the loan to an ex-employee does not satisfy the above conditions, the amount written off is not deductible.

Answer 2(a)

Kate is employed as an air crew member. The income derived from services rendered by a seaman or an air crew member will be exempt from salaries tax, if he or she is not present in Hong Kong for more than:

(1) 60 days in the year of assessment; and

(2) 120 days over two consecutive years of assessment, one of which is the year concerned [s.8(2)(j)].

Both conditions have to be satisfied before exemption from salaries tax is obtained.

Years of assessment 2018/19 and 2019/20

As Kate was present in Hong Kong for not more than 60 days in the years of assessment 2018/19 and 2019/20, the first condition of s.8(2)(j) is satisfied. As the total number of days she was present in Hong Kong for these years of assessment was not more than 120 days, the second condition of s.8(2)(j) is also satisfied. As such, Kate's employment income is exempt from salaries tax for both the years of assessment 2018/19 and 2019/20.

Year of assessment 2020/21

As Kate was present in Hong Kong for more than 60 days in the year of assessment 2020/21, the first condition of s.8(2)(j) is not satisfied and her income is therefore chargeable to salaries tax for said year of assessment.

Answer 2(b)(i)

Kate
Share option gain
Year of assessment 2020/21

	HK$	HK$
Market value at the time of exercise (10,000 x HK$22)		220,000
Less: Cost of option	5,000	
Cost of shares (10,000 x HK$5)	50,000	(55,000)
Share option gain		165,000

Answer 2(b)(ii)

Kate
Salaries tax
Year of assessment 2020/21
Basis period: year ended 31 March 2021

	HK$	HK$
Salaries		480,000
Overseas allowance		40,000
		520,000
Rental value (10%)	52,000	
Less: Rent suffered HK$((25,000 – 22,000) + 2,000) x 12	(60,000)	0
		520,000
Share option gain		165,000
Total assessable income		685,000
Less: Approved charitable donations HK$(40,000 + 10,000)	50,000	
Mandatory contribution to MPF scheme	18,000	
Qualifying annuity premiums	60,000	(128,000)
		557,000
Less: Married person's allowance	264,000	
Child allowance	120,000	(384,000)
Net chargeable income		173,000
Tax at progressive rate HK$(173,000 – 150,000) x 14% + HK$9,000		12,220
Tax at standard rate (HK$557,000 x 15%)		83,550
Salaries tax		12,220
Less: Tax reduction		(10,000)
Salaries tax payable		2,220

Answer 3(a)

Under s.64 of the IRO, the requirements of a valid objection against an assessment are:

(1) the objection must be lodged by the person assessed or his authorized representative in writing;
(2) the notice of objection must be received by the CIR within one month from the date of issue of the notice of assessment;

(3) the notice of objection must state precisely the grounds of objection; and
(4) in the case of an estimated assessment raised in the absence of a return, a properly completed return must be submitted with the notice of objection or within such further period as the CIR may allow.

However, if the person is prevented from giving notice of objection within the one-month period because:

(1) he was absent from Hong Kong;
(2) he was sick; or
(3) any other reasonable cause,

then the CIR may extend the one-month time limit for lodging an objection as may be reasonable given the circumstances.

Answer 3(b)

If Tony wants to object against the estimated assessment, the notice of objection must be received by the CIR within one month from the date of assessment, counting from 1 June 2020, making the deadline 1 July 2020.

Answer 3(c)

If Tony does not pay the tax as demanded on the due date, the tax shall be deemed to be in default and the CIR may take the following actions to recover the tax in default as provided under the IRO:

(1) recover tax from Tony's debtors;
(2) take civil action in the District Court; and
(3) apply to a District Judge for the issue of a departure prevention direction to prevent Tony from leaving Hong Kong.

Answer 4(a)

Raymond and Judy
Property tax
Year of assessment 2020/21

Rent receivable (HK$28,000 x 12)	336,000
Less: 20% statutory deduction	(67,200)
Net assessable value	268,800
Allocation of net assessable value	
Raymond (2/3)	179,200
Judy (1/3)	89,600
	268,800

Answer 4(b)

Raymond and Judy
Personal assessment
Year of assessment 2020/21

		Raymond	Judy	Total
		HK$	HK$	HK$
Net assessable value		179,200	89,600	
Net assessable income		1,500,000	0	
Net assessable profit		299,000	0	
		1,978,200		
Less: Mortgage loan interest		(38,000)	(19,000)	
		1,940,200	70,600	
Less: Approved charitable donations	(workings)	(574,420)	(24,710)	
Home loan interest		(100,000)	0	
Contributions of MPF scheme		(18,000)	0	
		1,247,780	45,890	
Less: Business loss		(400,000)	0	
Reduced total income		847,780	45,890	893,670

Workings:
Judy: HK$70,600 x 35% = HK$24,710
Amount transferred to Raymond: HK$(300,000 – 24,710) = HK$275,290
Raymond: Lower of HK$(500,000 + 275,290 – 161,000) = HK$614,290 and HK$(1,940,200 + 161,000) x 35% – HK$161,000 = HK$574,420

Answer 5

Circle Limited
Year of assessment 2020/21

	HK$	HK$
Commercial building allowance		
Office premises		
Original cost of construction	6,000,000	
Cost of converting showroom to retail shop	1,200,000	
	7,200,000	
Annual allowance: 4%		288,000
Director's quarters		
Original cost of construction	4,000,000	
Renovation expenditure	500,000	
	4,500,000	
Annual allowance: 4%		180,000
Renovation expenditure on office premises (HK$800,000 x 1/5)		160,000
Environmental protection installations at office premises (100%)		18,000,000
Repairs of director's quarters		10,000
		18,638,000

Answer 6(a)

Sale of shares in Upper Limited by Tom

Documents to be stamped:
Contract notes (Bought and sold notes)
Instrument of transfer
Contract notes:
Stamp Duty payable: (HK$10m + HK$2m) x 0.1% x 2 = HK$24,000

Note: HK$2m is the deemed consideration under s.24 of the Stamp Duty Ordinance.

Instrument of transfer:
Stamp duty payable: HK$5

Question 6(b)

Lease of Property Y by Middle Limited

Documents to be stamped: Lease agreement

Stamp Duty payable: HK$300,000 x 4.25% + (HK$20,000 x 24 + HK$22,000 x 24) x 12 / 48 x 1%
= HK$12,750 + HK$2,520
= HK$15,270

* * * END OF EXAMINATION PAPER * * *